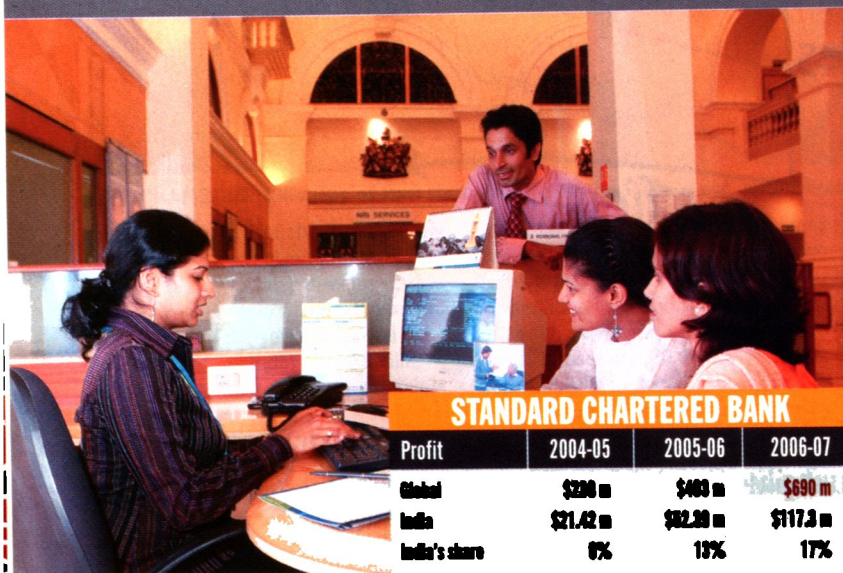


INDIA PROFIT

The India story rings cash registers across the globe. Higher sales and profits fuelled by rising consumption have made the country one of the top 10 markets and the focus of future plans for MNC giants.



STANDARD CHARTERED BANK

Profit	2004-05	2005-06	2006-07
Global	\$228 m	\$403 m	\$690 m
India	\$21.42 m	\$82.28 m	\$117.3 m
India's share	9%	13%	17%



RAY S. SAHAY

■ By Malini Bhupta

Had it not been for his visit to India in November last, Yong Nam, the global CEO of LG Electronics, may have perhaps never believed that the country is a bigger market for premium mobile handsets than the US. Who would have thought that it was India we were talking about, where over 700 million live in abject poverty and only 300 million middle-class consumers can afford the high-end products? But India is delivering the numbers. Multinationals are realising that with an expanded consumer base and rising affluence, India is beating even big consumer goods markets like the UK and the US in size and volumes.

Few would believe, last year India beat the US to become the second largest market for Nokia phones. As a fast-growing mobility market, this may not be news to most in India but when Nokia CEO Olli-Pekka Kallalasvuo states that India has achieved this target a good three years ahead of the company's expectations, the world does sit up

"Revenues apart, best practices are being developed here and rolled out elsewhere."

NEERAJ SWAROOP, CEO, STANDARD CHARTERED BANK

and take notice, including his rival Nam. From mobile phones to heavy construction equipment, India is fast becoming a large consumer of most goods and even services. The country is no longer a pie in the sky for MNCs, the numbers show it's a compelling story today. Says V. Ramachandran, director, LG Electronics India: "Within LG, there is a strong realisation that India is very important, both in terms of absolute market share and global growth. LG India's contribution to the revenues of the parent company is 6 per cent and we expect it to touch 10 per cent by 2010."

And if a study by the McKinsey Global Institute is to be believed, this trend will continue till 2020. The study says if India can achieve 7.3 per cent annual growth—a fair assumption if economic reforms remain on track—consumer spending will quadruple by 2025 from the present \$372 billion.